

Description and Analysis of the Selected Entrepreneurial Opportunity

Dental Touristic Company “GNK”

Dental tourism would be a means of attracting international clients to Kazakhstan for dental care, combined with tourism experiences.

Purpose and Mission

Purpose

To position Kazakhstan as that unique destination which offers affordable and high-value dental services combined with richness in immersive cultural experiences.

Mission

To provide world-class dental services to foreign clients at an attractive price, showing them the rich cultural heritage and natural beauty of Kazakhstan.

Vision

Within the next five years, establish Kazakhstan as a recognized Central Asian hub for dental tourism.

Value Proposition

- Quality and affordable dental service.
- Access to a great team of dentists who hold international certifications.
- Combination of dental care with travel packages of cultural and natural attractions.
- 24/7 customer support for international clients.
- Personalized care plans, with transparent pricing and guaranteed results.

Target Market Analysis

Primary Audience:

- Middle-class tourists from the U.S., Europe, and Canada who seek more affordable alternatives to pricey dental care.
- Retirees value affordability intertwined with leisure.

Secondary Audience:

- Wellness tourists and expatriates that are already residents in Central Asia.

- The customers in the neighboring territories, like Russia and China, find higher prices or less reliable services.

Market Size and Trends

While the medical tourism market for dentistry is set to observe a CAGR of 13.9%, it is estimated to reach US\$19.8 billion by 2032, the ever-growing cost of dental treatments within the U.S., Canada, and elsewhere, together with a boom in advanced dental equipment, facilitates patients in getting appropriate treatment at relatively lower prices in foreign destinations. () Kazakhstan has the best combination of affordability of services, modern clinics, and cultural appeal to facilitate this trend.

Dental services in Kazakhstan are 40-70% lower compared to those in Western countries, making this country very appealing for economical patients. To put this in perspective, a dental crown that costs more than \$1,000 in the U.S. would be approximately \$114 in Kazakhstan. Healthnews reports the following cost comparison table:

Table 1. Cost Comparison of Dental Treatments (USD).

Treatment	USA	Canada	Kazakhstan
Cleaning	\$163	\$136	\$48
Crowns	\$1052	\$989	\$248
Root canals	\$838	\$542	\$82.87
Tooth extraction	\$305	\$198	\$76
Fillings	\$234	\$203	\$92

This pricing strategy attracts price-sensitive patients but also allows high margins for the business. Targeting such high-priced markets for dental care as North America and Western Europe and positioning Kazakhstan as a considerably more affordable option with high-quality services will help us develop a profitable dental tourism niche.

BUSINESS MODEL

Value Proposition

We provide a special service that combines cultural tourism with reasonably priced, excellent dental care in Kazakhstan. For foreign consumers seeking affordable dental care together with cultural experiences, particularly those from high-cost markets like the USA, Canada, and Western Europe, this is a great offer.

Sales Channels and Customer Interaction

Customers can schedule services and communicate with us using online platforms (website, social media) that offer our products and services. In order to arrange logistics and offer services, we also work with nearby dentist offices and tour operators. From first consultations to post-treatment care, we guarantee excellent customer service at every turn. Customers can independently schedule and monitor services on our website, and they can also access loyalty programs with discounts and exclusive deals.

Revenue Streams

Commissions on dental services rendered (40 percent of each transaction) are the main source of income. The selling of service packages, such as VIP and tour packages, as well as potential subscriptions for aftercare, generates extra revenue.

Key Resources and Partnerships

Financial resources are needed for marketing, forming alliances with nearby clinics and travel agencies, and guaranteeing the security of data and usability of online services in order to put the idea into practice. Local dental offices and travel agencies are our primary partners. In order to draw customers and establish credibility, we also work with ambassadors and government initiatives.

Cost Structure

Salaries, medical procedures, and marketing are major expenses.

MARKETING STRATEGY

Our marketing strategy will take full advantage of affordability in Kazakhstan, a growing reputation for quality healthcare, and influential ambassadors to attract patients from high-cost dental markets. This will be achieved by leveraging target digital campaigns, initiatives to build trust, and experiential marketing that place the services as premium offerings for international patients cost-effectively.

Target Audience

We will market our services to patients from the countries with the most expensive dental care: the U.S., Canada, Western Europe, and Australia. The markets are made up of middle-income patients, retirees, and wellness travelers seeking available and affordable dental services. Other secondary markets are Gulf countries, Russia, and China. Patients seek quality healthcare at realistically low prices.

Digital Marketing

1. Social Media Campaigns:

Cost comparisons, testimonials from patients, and images that show the professionalism of our clinics and the attractiveness of combining healthcare with travel, will be included on Instagram, TikTok, and Facebook.

2. Paid Ads:

Google Ads, targeted social media ads, will focus on keywords like "affordable dental care abroad" and "dental tourism packages" to make sure their visibility reaches active patients seeking dental treatments.

3. SEO and Content Marketing

Blog posts, FAQs, and treatment breakdowns will drive organic traffic, emphasizing expertise, cost savings, and ease of access for international patients.

Ambassador Program

Collaboration with Kazakh sportsmen like Shavkat Rakhmonov, in promoting our services internationally. Their international reach will help them explain our services and establish trust among their fanbase. Collaborate with renowned athletes such as Alex Volkanovski from Australia and Marvin Vettori from Italy, popular among middle-class audiences in their own countries, but not world superstars so that we can afford them. Ambassadors will share personal stories of undergoing routine dental procedures with us or promote our services through videos and social media posts to increase credibility and visibility.

Trust-Building Initiatives

To make international patients feel confident, we will:

- Offer virtual consultations to discuss your treatment plans and costs upfront.
- Emphasize the employment of internationally certified professionals, combined with advanced dental technologies.
- Showcase patient reviews, testimonials, and case studies through various platforms, reinforcing the quality and reliability of our services.

Cultural and Experiential Marketing

We will emphasize, in our promotion of affordability and quality, the opportunity to experience Kazakhstan as a health destination. Marketing materials will communicate the ease, leisure, and enrichment in combining dental treatments with a visit to a modern country offering unique experiences.

Promotional Strategies

- **Early-Bird Discounts:** Offer price reductions for advance bookings to encourage early sign-ups.

- **Referral Rewards:** Introduce incentives for patients who recommend our services to friends or family.
- **Group Offers:** Provide discounts for families or groups traveling together for dental care.

Strengths and Weaknesses in the Context of the Environment

Strengths

- **Affordable Dental Services:** Dental services in Kazakhstan cost 40-70% less compared to those provided in Western countries, which easily attracts price-conscious international patients.
- **High-Quality Standards:** Most dental clinics in Kazakhstan have implemented advanced technologies and adhere to international certification standards, ensuring world-class quality of service.
- **Cultural Integration:** Combining dental tourism with unique cultural experiences creates a different value proposition that cannot be replicated in competing markets like Turkey or Hungary.
- **Strategic Location:** Kazakhstan serves as a geographical bridge between Europe and Asia, enabling both regions to bring down traveling costs and time for patients.
- **Increasing Global Demand for Dental Tourism:** Growing healthcare costs in developed countries have increased the number of patients who seek reasonably priced dental care abroad, thus opening an increasing market for Kazakhstan.
- **Government Support:** The Kazakh government actively promotes tourism and foreign investment, opening opportunities for incentives, partnerships, and infrastructure development.
- **Digital Marketing Opportunities:** Emerging digital infrastructure in Kazakhstan enables it to undertake focused marketing campaigns across borders, using platforms such as Instagram and TikTok.
- **Nature Tourism/Eco-Tourism and Special Experiences:** Integration of dental care with cultural or ecotourism offers customers a memorable, holistic experience that sets Kazakhstan apart from competitors.

Weaknesses

- **Limited Global Awareness:** Kazakhstan is not well-known as a dental tourism destination, and its global branding efforts are still in the early stages, leading to limited international patient inflow.
- **Language Barriers:** Many healthcare professionals and support staff in Kazakhstan may not speak fluent English or other widely spoken international languages, hence causing communication barriers for foreign patients.

- **Perceived Geopolitical Risks:** Proximity to countries perceived as unstable, like Russia, may hamper the arrival of some patients, particularly those not familiar with the safety and stability of Kazakhstan.
- **Competitive Pressure from Other Established Markets:** Dental tourism in countries like Turkey, Hungary, and Thailand is more established, with greater market penetration for similar services.
- **Logistical Issues:** Clearly, coordinating dental treatment, travel arrangements, and cultural encounters means that several parties must work together, which can be challenging and resource-intensive.
- **Lack of Infrastructure:** Some areas in Kazakhstan, while developing, may not have adequate infrastructure to support such tourism: transportation and accommodations.
- **Dependency on Local Partnerships:** This business model is highly dependent on good partnerships with clinics, travel agencies, and other service providers, which could be risky if not handled properly.
- **Slow Adoption of Digital Systems:** Limited access to modern digital booking and telehealth platforms may lower customer satisfaction, and therefore impact growth.

Key Differentiators

- Unmatched blend of **affordable dental care** and **rich cultural immersion**.
- Strategic location bridging Europe and Asia.
- Unique offerings like traditional Kazakh wellness treatments to complement dental procedures.

Venture Opportunities and Potential Threats for Dental Tourism Company in Kazakhstan

Opportunities

- **Networking:** Building strong relationships with top dental clinics, reputed tour operators, and accommodation facilities will establish special agreements and deny access to any future competitors.
- **Seasonal and Thematic packages:** Providing promotional packages during holidays or tourist seasons-for example, New Year's retreats for dental wellness or summer cultural tours-to make the business more attractive to clients.
- **Addressing Specialized Customer Needs:** Tailor-made packages to suit what the customer may want to be engaged in-eco tourism trips, cultural exposure, or VIP dental packages-depending on the client base.
- **Upcoming Market Trends:** With an increasing demand for affordable but quality dental care worldwide, Kazakhstan will be one of those few but rare destinations.
- **Government Incentives:** Utilize national tourism initiatives and government incentives focused on developing Kazakhstan's medical tourism sector.

Threats

- **Technical Challenges:** As the business heavily relies on online systems, disruptions like server downtimes or internet blackouts could temporarily hinder operations and damage customer experience.
- **Reputation Risks:** Poor experiences related to particular clinics, hotels, or travel partners will impact the overall brand image and discourage potential clients.
- **Geopolitical Concerns:** International perceptions of the region's stability or safety may influence decisions of clients to travel to Kazakhstan.
- **Competition from Established Players:** The competition against well-established countries providing dental tourism, such as Turkey and Hungary, may face significant marketing efforts to differentiate what Kazakhstan can offer.
- **Language Barriers:** Limited availability of multilingual staff could result in communication issues with international clients, affecting satisfaction and repeat business.

Key Factors of Success for Dental Tourism Company in Kazakhstan

- **Investment in Advertisement:** The building of awareness on Kazakhstan as a destination for dental tourism is very critical. Targeted campaigns on social media, partnerships with influencers, and digital ads in high-cost dental markets will attract the targeted clients.
- **Quality Service:** Guarantees through partnerships with internationally accredited clinics and professionals for quality dental treatments. Verified testimonials and case studies will establish trust among prospective patients.
- **Smooth Travel and Care Coordination:** In partnership with efficient travel agencies and transport providers, the company will offer seamless experiences in travel and care. Quick and convenient arrangements for travel, accommodation, and appointments are essential in meeting client expectations.
- **Constant Communication with Clients:** Developing strong relationships is established through dedicated multilingual support teams, offering first-class preand aftercare services. Effective communication ensures that trust is established and enhances client satisfaction during and after their visit.
- **Expanding Partnerships with Clinics and Travel Agencies:** Continue seeking new collaborations with dental clinics, tour operators, and accommodation providers to constantly expand the services offered and ensure competitiveness of prices.

Strategy Selection

Considering the niche nature of dental tourism, focus differentiation is the best strategy for this industry.

Differentiation Strategy: Focus

The company will focus on providing unique features to the customers, including reasonable-priced and good-quality dental services combined with cultural experiences. By focusing on rich cultural heritage and individualized care of Kazakhstan, the country will have a unique competitive advantage over other countries like Turkey and Hungary.

Action Plan

- **Segment the Target Market:** Seek to understand dental tourism in specific needs—cost savings, quality assurance, and travel experiences.
- **Elaborate on Unique Sell-Offs:** Explain what makes the business competitive: great prices, modern technology, and a special cultural integration package.
- **Design an Online Platform:** Develop a professional website with a unique logo, pricing clarity, virtual consultations, and testimonials.
- **Establish Partnerships:** Work in collaboration with dental clinics, travel agencies, and tour operators to develop full packages of services.
- **Trusted Travel Arrangements:** Use reliable hotel and transportation services to make convenient and easy arrangements for international clients.
- **Social Media Marketing Strategy:** Advertise through Instagram, TikTok, YouTube, showing price comparisons, success stories, and cultural highlights. Utilize ambassador programs with famous people.
- **Monitor and Improve:** Continuously gather feedback to refine services and address any client concerns promptly.

Key Assumptions for Investors

- **Increasing demand for affordable dental tourism:** With increasing healthcare costs in Western countries, Kazakhstan is a more attractive option.
- **Easy-to-use website:** It will be user-friendly and mobile-friendly, with easy-to-understand pricing, options to book, and space for feedback.
- **Knowing one's clients' preferences:** The company will have to accommodate the purchasing habits of dental tourists and tailor culturally relevant experiences.
- **Seasonal and Trend Adaptability:** Ability to provide promotions and special packages during peak travel seasons.
- **Guaranteed Service Delivery:** The dental treatments and related travel services offered shall always ensure that customers' expectations on quality and timely delivery are met.
- **Strong Brand Image:** A quality and trustworthy brand image shall be developed based on consistency of quality, satisfaction of clients, and adequate marketing.
- **Growth Orientation:** The company shall invest in service scaling, maintaining quality, with considerations for ensuring profitability to investors.

Summary Financial Projections And Expected Returns To Investors.

Our main income streams come from providing intermediary assistance between our clients and two kinds of Kazakhstani service providers: Housing and Dental Services. We model our revenues for the first five year of business activity. We charge our clientele a higher price rather the one could expect to pay if they were a local client. The model assumes a margin of 40% when it comes to charging our clients. Considering dental services in the countries from where our clients are coming from are up to 70% higher, we believe our proposition of getting the same service cheaper with added benefit of tourism will be attractive.

We aim for a moderate start with 240 visitors first year or 20 patients per month and assume yearly increase of additional 60 clients year by year given that our marketing strategy is successful. We assume that all clients who decide to use our services in Dental sector will also use our services in Housing. Considering that our potential client base could be in millions of individuals across foreign countries with high cost of dental services, our estimate of client numbers is more than possible to achieve.

Our most important costs are associated with paying for the local services of Housing and Dental Clinics from simple checkups to full reconstruction. Apart from that, main cost positions include Salaries, Rent Advertisement Spending and Capital Expenditure. We plan to gradually increase the number of staff members, which is expected to double by the end of the 5-year cycle going from 8 to 16, most of whom will be Coordinators and Guides that will be hired to accommodate new clients. The most notable Capital expenditure are Computers and a company Vehicle depreciated in 5 and 15 years respectively.

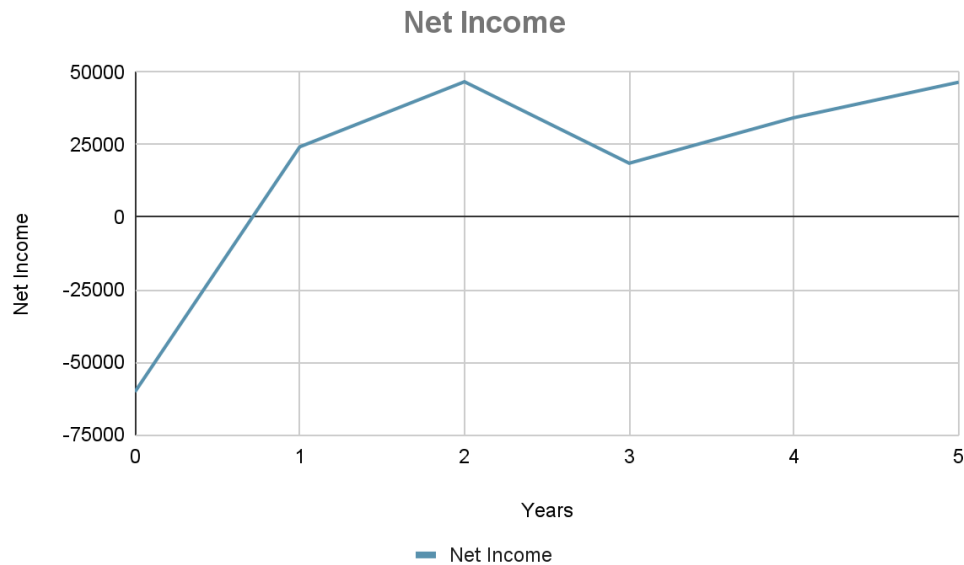


Figure 1. Net Income after taxes

According to Figure 1 we plan to achieve positive Net Income from the end of Year 1, which is expected to grow with a dip in Year 3 when a fresh spending on Capital Expenditure is expected. The years proceeding after have lower Net Income figures associated with hiring and sustaining a larger staff.

When calculating the profitability of the project we turn to Net Present Value and Internal rate of Return Calculations.

To calculate Net Present Value we use the assumed discount rate of 20%. The same rate is used when evaluating the Internal Rate of Return.

We calculate the positive Net Present Value of 59 086\$. Positive Net Present value means positive outlook on earning capacity and makes the investment worthy consideration. We estimate the Internal Rate of Return to be 37% which is higher than the discount rate of 20%, making investment in the company a considerable option investors.

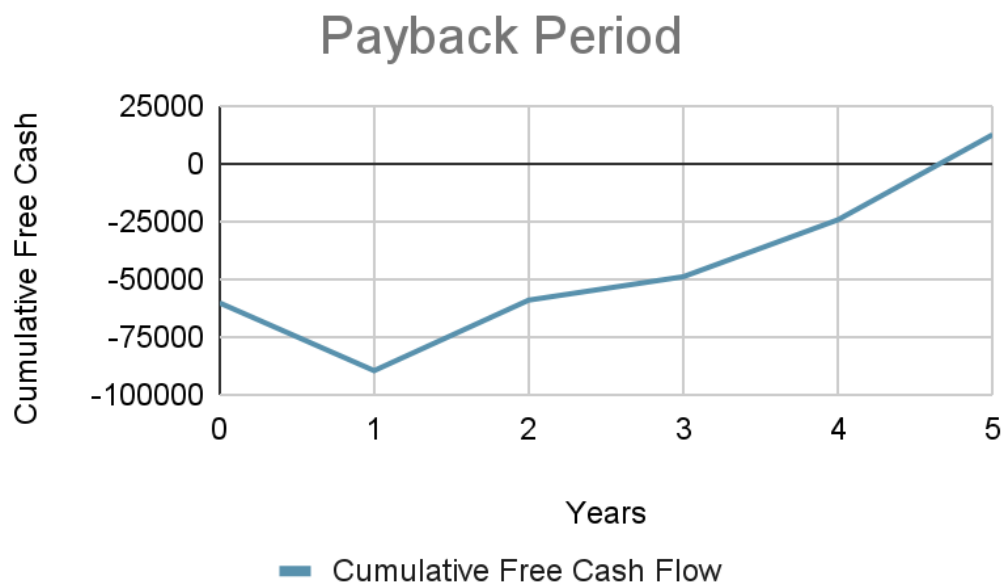


Figure 2. Payback Period

We estimate the payback period of the project to be 4.65 Years. The Figure 2 above illustrates how the initial investment would be recovered throughout the time of activity. As seen from the graph, the line crosses the zero line almost in the mid-point between Year 4 and Year 5. Considering that our estimates of amount of clients is conservative and possibility to scale operations and increase profits quickly, this payback period represents a modest estimate with a good probability for improvements. Therefore, taking into consideration the novelty and

uncertainty of this business model implementation, we consider this payback period to be a positive sign that makes the investment worthwhile.

To conclude, the potential of dental tourism market in Kazakhstan offers an untapped potential for financial returns for potential investors. Our proposition has positive Net Present Value of 59 086\$ and IRR of 37% (higher than the discount rate) over the 5 year period with Payback Period of 4.65 Years. Therefore, our calculations mean robust financial returns with further potential of growth, making the project an attractive proposition for investing.

Reference

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